

Alibaba Group Holding

Apsara 2026 Day 1 Wrap: Cloud Revs & Capex Implication On 20GW

CITI'S TAKE

Day 1 of Apsara Conference 2026 underscored Alibaba's accelerating AI momentum across proprietary silicon, supernodes, and dual-track Qwen model directions, reinforcing its vertically integrated full-stack AI ecosystem. To support management's 20GW AI infrastructure target by 2032, we assume a 50/50 Capex/Opex partner split at US\$30bn/1GW, raising our FY27–FY29E capex forecasts to Rmb258bn, Rmb283bn, and Rmb282bn. Under a 40% rev/GW ratio, we forecast external AI Cloud revenues to reach US\$168bn by FY33E (40% FY26–FY33E CAGR; sensitivity range US\$126bn–US\$210bn). Reiterate Buy and TP of US\$190/HK\$189.

Revs and Capex implications on 20GW — On the back of Ali's latest target of 20GW AI infra by 2032 to meet accelerating demand and CEO Eddie Wu's comment on investment with industry collaboration, our revised capex forecast is based on a 50/50 Capex/Opex split with industry partners at US\$30bn/1GW, which lead to annual capex commitment at ~Rmb262.5bn (US\$37.5bn), prompting our new FY27–FY29E capex forecasts to Rmb258bn, Rmb283bn, and Rmb282bn. We project external AI cloud revs could reach US\$168bn by FY33E, representing a 40% CAGR from FY26–FY33E based on a 40% rev/GW conversion ratio. Our sensitivity analysis of 30–50% rev/GW ratio suggests external cloud revs of US\$126bn–210bn by FY33.

Notable new products from T-Head, Agentic Cloud & Qwen AI - T-Head unveiled its Zhenwu V900 accelerator and Lingjun Supernode infrastructure to power AliCloud's production-ready agentic cloud platform. On models, Ali's dual-track Qwen strategy focuses on advancing frontier intelligence via the flagship 2.4T-parameter Qwen3.8-Max while making smaller, cost-efficient models more practical for real-world deployment. Ali also expanded its omni-modal ecosystem across image, audio, and world models ahead of a major video AI upgrade in Nov.

Maas & Agents: Ali's MaaS customer base grew 6x YoY to 6mn as of Sep 2026 with ARR accelerating to Rmb20bn, driven by its full-stack AI optimization. Ali significantly scaled its agent ecosystem across enterprise workflows and developer tools via Agent Studio, QwenWork (powering >100k QoderWake digital employees), and the next-gen Qoder platform. It also expanded into personal intelligence with Qwen Intelligence for AI smartphones and new proprietary AI wearable hardware.

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Company	Ticker	Ccy	Price	Mkt Cap (M)	Date & Time										Current Fiscal Year		Next Fiscal Year	
						Rating		Short-Term View	Target Price		ESPR (%)	Div Yld (%)	ETR (%)	Last Rpt Yr	EPS		EPS	
						Old	New		Old	New					Old	New	Old	New
Alibaba Group Hldg	9988.HK	HK\$	114.80	2,282,797	22 Sep 16:10	1	nc	-	189.00	nc	64.6	1.7	66.3	Mar-26	5.201	5.091	8.011	7.878
Alibaba Group Hldg	BABA	US\$	116.31	289,103	22 Sep 16:00	1	nc	Upside	190.00	nc	63.4	1.7	65.1	Mar-26	40.988	40.120	63.127	62.075

1 = Buy, 2 = Neutral, 3 = Sell, H = High Risk
 Source: Citi Research

ESPR = Expected Share Price Return, ETR = Expected Total Return, nc = no change
 ^Catalyst Watch

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

Earnings Estimates

Company Name	Ticker	Last Rpt Year	Currency	Last Reported Year					Current Fiscal Year					Next Fiscal Year				
				1Q	2Q	3Q	4Q	FY0	1Q	2Q	3Q	4Q	FY1	1Q	2Q	3Q	4Q	FY2
Alibaba Group Hldg	9988.HK	Mar-26	Rmb	1.844	0.545	0.886	0.107	3.350	1.065	1.294	1.608	1.108	5.091	-	-	-	-	7.878
Old		Mar-26	Rmb	1.844	0.545	0.886	0.107	3.350	1.065	1.294	1.674	1.153	5.201	-	-	-	-	8.011
Alibaba Group Hldg	BABA	Mar-26	Rmb	14.749	4.361	7.089	0.853	26.801	8.521	10.200	12.674	8.730	40.120	-	-	-	-	62.075
Old		Mar-26	Rmb	14.749	4.361	7.089	0.853	26.801	8.521	10.200	13.187	9.086	40.988	-	-	-	-	63.127

Source: Citi Research

Apsara 2026 Key Takeaways (Day 1)

AI infra to reach 20GW by 2032

In the keynote speech delivered by Alibaba Group CEO Mr. Eddie Wu in the morning session of main forum at day 1 of Apsara Conference 2026, Mr. Wu shared that Alibaba has been expanding AI compute in meeting strong customer demand for AI currently, thus translating into accelerating growth for AliCloud revenues. However, Mr. Wu believes medium- to long-term demand remains strong and exceeded current AI compute supply by Ali. With global scarcity for AI data center supply chain, this may also constrain compute expansion as a bottleneck. As a result, Alibaba will partner with all partners and fully invest in AI infra and target expand its **AI infrastructure to 20GW by 2032**, representing 10x larger the capacity in 2022 to meet accelerating AI demand.

Please see earlier reports CEO's 20GW ([link](#)), other keynote highlights ([link](#)) for more details regarding keynote speeches at main forum on day 1 of Apsara conference 2026.

Cloud revs and capex implications on reaching 20GW

We view the 20GW AI Infra commented by CEO Mr. Eddie Wu during its 2026 keynote speech as relatively consistent to last year's message where he commented on Ali's plan to boost global datacenter capacity tenfold by 2032. See 2025 report on Eddie Wu's [keynote in 2025](#).

Since Alibaba, specifically, CEO Mr. Wu, had highlighted a few times, including during the recent speech that when Ali targets to expand its AI infrastructure, it plans to work and partner with all related partners, suggesting to us that not all the "planned" datacenter capacity will come from Alibaba's own capex and we believe a portion of the spending will be in Opex. Nevertheless, management has not shared the % split between capex and opex.

In the following table, we provide sensitivity analysis on the possible % split between capex and opex and our base case assumption assume that about 50% of the investment will come from capex while the remaining 50% will be shared/spent by industry partners.

Since BABA has not disclosed the current gigawatt for its current datacenter capacity, our assumption is based on current infrastructure at 2.5GW and growing to 20GW by 2032 or FY2033, suggesting incremental of 17.5 GW for 7 years or average of 2.5GW new capacity per year. In reality, we believe the build-out likely will accelerate into FY2028-FY2029 and then slow slightly after that.

Given lower land, labor and electricity cost, we estimate cost per 1 GW of datacenter in China likely to range between US\$25-35bn. Our base case assumes US\$30bn per 1GW datacenter capacity, and we assume BABA will invest half of the total capex spent for 7 years, which will imply average of US\$37.5bn or Rmb262.5bn per year. If BABA were to take charge of 70% of capex spend, it would imply average of Rmb367.5bn capex per year. On the other hand, if BABA only takes charge of 30% of total capex needed to reach 20GW, average capex per year would be around Rmb157.5bn.

Figure 1. Sensitivity analysis on annual capex forecast

Annual capex forecast (Rmb bn)	Annual cost for AI infra (US\$ bn)				
Capex allocation %	25.0	27.5	30.0	32.5	35.0
30%	131.3	144.4	157.5	170.6	183.8
40%	175.0	192.5	210.0	227.5	245.0
50%	218.8	240.6	262.5	284.4	306.3
60%	262.5	288.8	315.0	341.3	367.5
70%	306.3	336.9	367.5	398.1	428.8

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Source: Company Reports and Citi Research Estimates

Raising capex forecast

Based on the latest 20GW capacity, 50% to be invested by Alibaba as Capex, we have revised up our capex forecast for FY2027-FY2029E to Rmb258bn, Rmb283bn and Rmb282bn, up from our previous forecast of Rmb228bn, Rmb201bn and Rmb180bn.

External cloud revs forecast and sensitivity

On the back of Alibaba's existing guidance of reaching US\$100bn external cloud revs by FY2031, we have expanded our revs forecast by two more years to FY2033 and estimate AI Cloud external revenues could reach US\$168bn if we assume cloud revenues to GW ratio at 40%. While the two-year CAGR from US\$100bn to US\$168bn implied at ~30%, it still suggests FY2026-2033E revs CAGR of 40%, which we view as strong growth momentum to sustain. On the other hand, if the cloud revs to GW ratio is only at 30%, it could suggest AI cloud external revs to only reach US\$126bn or 35% CAGR from FY2026-2033E. In contrast, if better utilization or improved efficiency could lead to 50% revs to GW ratio, it would suggest AI cloud external revs could reach US\$210bn or 45% CAGR from FY2026-2033E.

Figure 2. Sensitivity analysis on AI cloud external revenues

Revs % on invested capex	30%	35%	40%	45%	50%
AI cloud external revenue by FY2033E (US\$ bn)	126	147	168	189	210
Implied FY26-33E revenue CAGR	35%	38%	40%	43%	45%

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Source: Company Reports and Citi Research Estimates

MaaS and Agent Ecosystem

During the MaaS and Agent Forum in the afternoon, management highlighted AI adoption breaking boundaries with deepening engagement with Ali's MaaS customers growing 6x to 6mn as of Sep 2026 from 1mn 1 year ago. Monetization has been accelerating with ARR reaching Rmb20bn by Sep 2026, up from Rmb16bn in Aug 2026 and Rmb8bn in May 2026.

Alibaba remains committed to invest in full-stack AI to accelerate industry transformation in agentic era. Ali also reiterated its expansion target to reach 20GW by 2032 to empower Qwen AI Platform (AI native applications, agent services, MaaS), Qwen (large models), AliCloud (AI infra) and T-Head (AI chips). Ali

will provide end-to-end coordination, design and optimization for its full-stack AI and cloud ecosystem.

MaaS (Qwen AI Platform)

Ali's MaaS is based on 4 core capabilities including frontier model ecosystem, extreme inference efficiency, safe and stable MaaS and flexible service offerings. Qwen AI Platform also provides top-tier models in all modalities from day-1 access on one platform covering LLM (Qwen-Max/Flash/Plus), image (Qwen-Image), video (Wan/HappyHorse), world model (HappyOyster), audio (ASR, TTS, Realtime), music (HappyShrimp) and third-party models such as GLM, DeepSeek and Kimi.

Qwen AI Platform maximizes inference efficiency at 70s elastic launch, 0.4s cluster decision time, a higher performance by lowering TTFT to 38% and TPOT to 5ms while lower prompt caching cost by more than 95%. The platform also provides enterprise-level service capabilities to secure AI deployment at scale. With flexible services covering individuals and enterprises, Qwen AI Platform meets various needs for independent developers, daily office use cases for teams, SME and SaaS vendors and large corporate and government.

Agent services (Agent Studio)

Agents help enhance business value through token consumption for in-depth reasoning for decision making, long-horizon execution and self-evolution. Ali released Agent Studio as a full-stack agent service platform for enterprises supporting long-horizon runtime, multimodal context, self-evolutionary iteration and security protection.

Ali also offers multiple ways including atomic API and agent API to build with unified runtime for diverse tasks. Its agent service also learns, adapts and improves through every interaction with automatic assessment, review, optimization and verification.

QwenWork for office use cases

In the QwenWork forum, Ali introduced the new QwenWork consisting of Enterprise Context to provide relevant context based on enterprise data for decision making by agents. Embedded by specialized model, Enterprise Context prevail in completing data compression and processing at very low token costs.

QoderWake represents a digital employee agent with independent identity and position with the capability to deploy tools, execute missions across systems and collaborate with other employees and agents. QoderWake is fully manageable, traceable and can be taken over by human at any time which also supports DingTalk, Lark and WeCom. Within 4 months of launch, QoderWake has generated over 100,000 digital employees to help enterprise customers strengthen their productivity.

QwenWork also introduced Collab feature to integrate group chats, document and knowledge base and delegate duties for employees or digital employees to avoid redundant communication. QwenWork also launched Application feature to integrate enterprise system by corporates and SaaS vendors with QwenWork to add agentic capabilities while retaining existing interface and data processing. QwenNote A2 is an agent hardware from QwenWork for audio recording and office mission execution by Qwen.

New generation Qoder

Ali introduced the new generation Qoder for simpler interaction, more advanced human-machine collaborations and stronger Harness capabilities covering full cycle of software development including planning, design, output, testing and maintenance with a position as an agentic coding platform for everyone. Since release in Aug last year, Qoder has serviced over 8mn developers, with over 30% from non-professional developers. Management also observed a more diverse need for Qoder with non-coding mission has surpassed half of total missions and 80% of coding mission completed by agents.

For multi-agent collaboration, Ali launched Agent Team to significantly improve certainty for mission execution and manual control over multiple agents. In addition, new Qoder also introduced Qoder Project and Qoder Discussion for more effective communication between human and agents. Based on Qwen audio model, Qoder also launched real-time audio collaboration tool Qoder Voice.

Qwen Intelligence powering personal intelligence

At Apsara 2026, Qwen released AI smartphone full stack solutions Qwen Intelligence aiming to partner with smartphone manufacturers to empower smartphones to complete different complex missions. Qwen Intelligence aims to provide 3 key capabilities for smartphone makers including frontier Qwen large models optimized for smartphone scenarios, full-stack platform capabilities with high level of customization and solutions facing real use cases.

Qwen Intelligence introduced 3 solutions covering Mobile Planner Agent for intelligent planning, mission breakdown, tool arrangement and dynamic adjustments, Mobile-Use Agent for smartphones operations based on API first and GUI support hybrid operations and Mobile Creative Agent for image creation optimized for smartphone use cases.

Qwen Intelligence will be embedded in upcoming Honor Magic 9 to be released by Sep 28 and Honor Robot Phone series. Ali will also apply Qwen into its own wearable gadgets including Qwen AI Glasses N1 and N1 Pro and Qwen clip-on earbuds which opens for sales on Oct 13.

AI Cloud infrastructure

BABA showcased its full-stack proprietary AI infrastructure covering compute, storage, and networking to address RSI-driven challenges. On compute side, its Lingjun Zhenwu M890 super-node is the first domestic 100k-GPU cluster, already powering commercial services for models like Qwen 3.8 Max and KIMI K3 with over 2tn parameters. Next year Lingjun Zhenwu V900 is scheduled to start production, delivering 3x performance improvement, 200pbs communication bandwidth, 6us latency, self-developed SNPO for all-optical interconnect.

For storage, the new CPFS offers 100TB/s throughput and 100mn IOPS, with per-file-system capacity expanded to 5x to 100PiB. In practice, it reduces model startup time by 50%, increases peak compute utilization by 30%, and lowers AI storage costs by 69%.

On inference, BABA introduced Tair KVCM, a KV cache management and scheduling system that orchestrates multi-tier caches, achieving 99% effective hit rate and cutting per-token cost by 50%. The KV CacheStore acceleration engine sits at the G3.5 layer, handling long-context, multi-turn dialogues and complex agent tasks, extending cache coverage window by 900%, boosting throughput by

20%, and reducing first-token latency by 54%. A new TPN uses a two-layer design, increasing access bandwidth by 2.5x, network scale by 10x, and reducing latency by one-third.

Agent Native Cloud

BABA launched AgentCore, an enterprise-grade agent build-and-governance platform that standardizes and manages agent infrastructure. It supports long-running tasks, failure retry, breakpoint recovery, and asynchronous execution, with secure runtime, resource isolation, identity/permission controls, and full-chain auditing. It unifies assets such as models, PCP Servers, and Skills, improving task completion rate by 99% and reducing TCO by 70%.

Additional agent products include: agent sandbox, an out-of-the-box, elastic, secure execution environment with 100k creations/minute, deep-sleep wakeup under 600ms, and compatibility with E2B and K8s; Agentic OS, an agent-native operating system saving >30% token consumption and tripling sandbox deployment density; and Agentic Computer, dedicated, always-on cloud desktops for agents, supporting major frameworks.

Context Engine

BABA introduced the Context Engine, a three-in-one architecture combining **storage**, **compute** processing and **context** engineering. Its goal is to transform fragmented enterprise data into real-time context, enabling agents to move from “knowing what” to “knowing what to do now”. At the bottom layer, multimodal data storage handles conversations, video frames, point clouds, trajectories and agent feedback. The middle layer covers data integration, transformation, governance, quality and modeling. The top layer uses enterprise knowledge bases, multimodal semantic fusion, persistent memory management and real-time context assembly to organize scattered data into dynamically updateable context that agents can call on demand.

Key product releases includes Agent Context, which improves retrieval accuracy by 50% and triples token efficiency, OpenLake which is a unified multimodal data lakehouse, Apsara Lakebase which enables sub-second, zero-copy branching for fast, isolated agent data spaces, MC-MaxFrame which is a proprietary distributed compute framework for multimodal data, and Flink Streaming Agent which provides over 60 multimodal operators to convert real-time data streams into actionable business triggers.

BABA believes this unified Agentic Cloud integrates compute, network, storage, runtime, identity security and enterprise data to achieve higher intelligent production efficiency.

Qwen Model: latest progress toward the agentic era

During the Qwen Model sub-forum, management highlighted Qwen's latest progress, a flagship model with enhanced coding and office capabilities, a new omni-modal model, and a real-time multilingual translation model, spanning real-world agents, native multimodal intelligence, and multilingual understanding.

Qwen 3.8 update

On the commercial side, BABA reported that for Qwen 3.8 Max, usage revenue increased by 8.5x, and enterprise token call volume surged 12 times, driven by adoption across full-stack development, automated operations, scientific

research, legal document drafting, investment research and analysis, and engineering design. Alibaba highlighted Qwen's open-source ecosystem, citing more than 3 billion cumulative global downloads, over 300,000 community-created derivative models, and more than 460 models released.

Parameter scaling trajectory and forward roadmap

BABA reiterated its conviction that a combination of structural optimization and sustained parameter scaling remains the core driver of capability gains. Looking ahead, management said it plans to push toward 5 trillion to potentially 10 trillion parameters for the forthcoming Qwen 4.5 or Qwen 5 generations, describing continued high-quality scaling as the most certain path toward artificial e.

Qwen 4 series to be released soon

On product strategy, management confirmed that a Qwen 4 series will be released in the near term (without providing the time frame), maintaining a full-size, full-scenario portfolio that includes a Max model aimed at the most complex reasoning and agentic tasks, Flash and Plus models optimized for high throughput, low latency, and cost efficiency in enterprise production settings, and an upgraded parameter open-source model intended to remain the standard choice for developers requiring on-premises deployment and fine-tuning.

Qwen toward native multimodal agents

Alibaba framed the next stage of multimodal AI as a shift from "seeing" to "doing". BABA described everyday tasks as inherently multimodal (images, documents, videos) with expected outputs that go beyond a simple answer to include reports, webpages, or even full software projects, requiring a model to understand user goals, select tools, operate in the corresponding environment, and iterate toward a final deliverable.

- As a foundation, BABA cited visual understanding benchmarks showing Qwen 3.8 Max ranking second globally (and the only domestic Chinese model in the top 20) roughly a month and a half after release.
- BABA showcased three capability demonstrations: analyzing a 200-page financial report with every claim traceable to a verifiable source location; building persistent multimodal "memory" across a 10-episode, 8-hour drama to answer cross-episode questions and generate relationship graphs; and retrieving specific moments from 100 hours of footage (e.g., a livestream), saving extensive manual review time and feeding directly into tasks like video editing.
- BABA reiterated Qwen's ambition for multimodal models to understand the world, continuously observe during action, use feedback to correct results, and ultimately complete real-world tasks, at which point multimodal capability stops being merely an output feature and becomes the interface connecting agents to both the digital and physical world.

Qwen toward agentic Omni-Modal Large Model

BABA explained that for AGI to truly help humans, it must be able to process the continuous audio-video stream that constitutes most of human daily experience. Tracing the field from the "chatbot" era to the "Omni" video-chat era, BABA framed the current shift as productivity-driven, and omni-modal models can now automate real audio/video workflows. A multimodal plugin lets the model act as a sub-agent that understands audio/video and feeds structured context into

harnesses, enabling use cases like long-form editing, short-drama localization, omni-model self-improvement, and automated music-video generation from a song.

Performance and cost

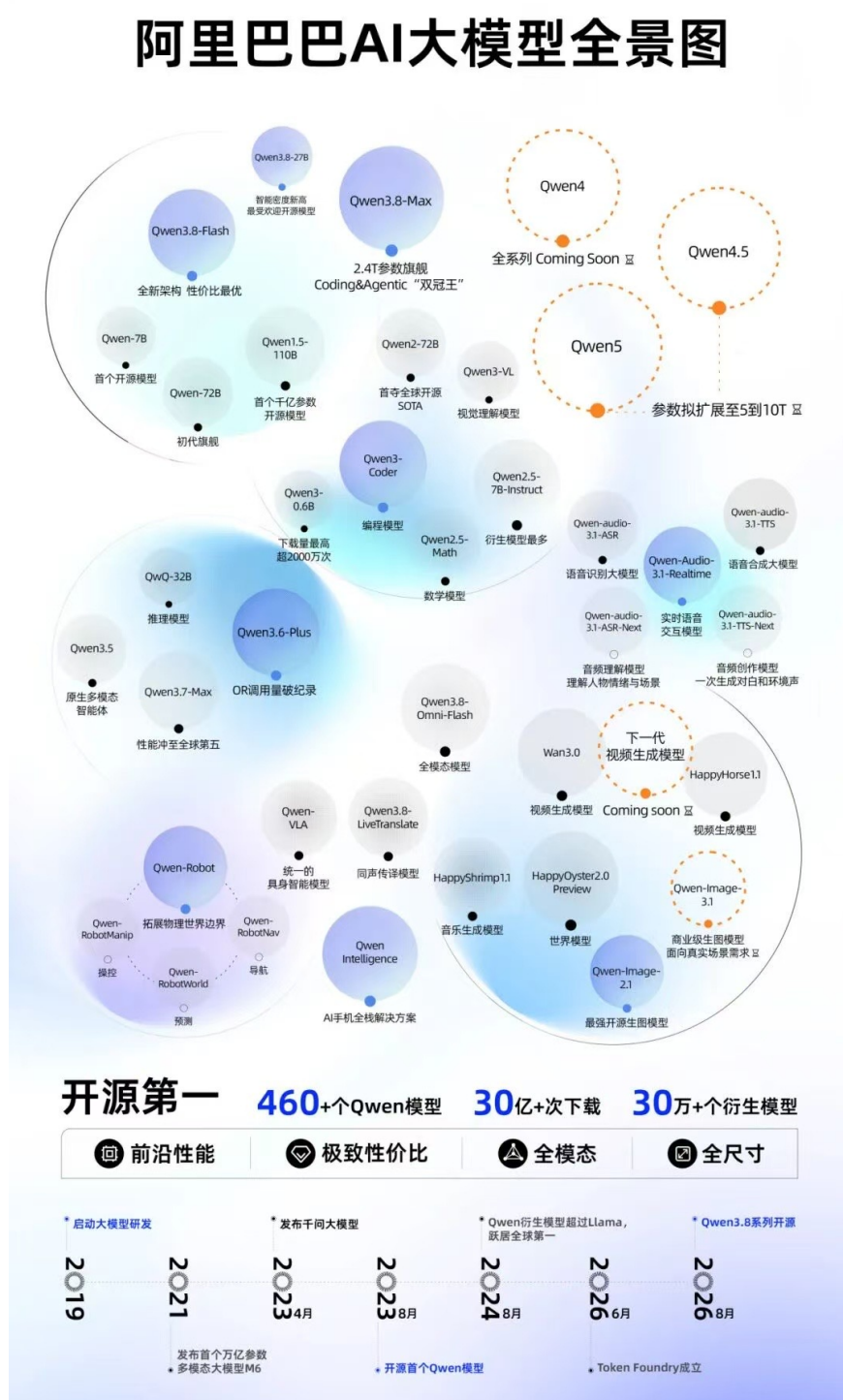
Across 29 evaluations, its average score improved by more than 25% versus Qwen 3.5 Omni Plus, according to Alibaba, beating competitors on agentic audio/video tasks, joint understanding/captioning, and long-audio/multi-speaker reasoning. The estimated input cost was approximately Rmb0.02 per hour for audio and Rmb1.06 per hour for 720p audio-video, representing reductions of more than 98% and more than 93%, respectively, versus Qwen 3.5 Omni Plus.

Qwen's multilingual capabilities

Qwen's ambition is to make every language, regardless of how many people speak it, a valid entry point into the world of intelligence, continuing to deepen localization, multimodality, and real-world productivity applications so that Qwen can serve as a genuine partner for businesses and users expanding globally.

Qwen's language coverage has grown from just Chinese and English at launch to over 200 languages today. On multilingual reasoning, translation, knowledge, and code localization benchmarks, Qwen 3.8 Max reportedly ranks among the first tier in the industry and relatively lead in domestical position. BABA released Qwen 3.8 Live Translate, a low-latency speaker-aware real-time interpretation model already deployed on Qwen glasses, earphones, and DingTalk devices. Qwen 3.8 LiveTranslate supports 60 input languages and reduced reported average translation lag from 2.8 seconds to approximately 2.3 seconds.

Figure 3. Alibaba's full spectrum of AI large models



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Source: Alibaba, Citi Research

Estimates revision

Based on the revised Capex forecast, we have updated our depreciation assumption, R&D, operating profit and adjusted EBITA and adjusted EBITDA assumptions.

Figure 4. Estimate revisions

Rmb (mn except per share data)	Net revenues (Rmb mn)			Non - GAAP Net Profit (Rmb mn)			Non-GAAP Diluted EPADS (Rmb)		
	Old	New	% Chg	Old	New	% Chg	Old	New	% Chg
FY2Q27E	271,323	271,323	0.0%	24,564	24,564	0.0%	10.20	10.20	0.0%
FY3Q27E	316,384	316,384	0.0%	31,663	30,429	-3.9%	13.19	12.67	-3.9%
FY2027E	1,129,974	1,129,974	0.0%	98,561	96,474	-2.1%	40.99	40.12	-2.1%
FY2028E	1,276,591	1,276,591	0.0%	149,985	147,486	-1.7%	63.13	62.07	-1.7%
FY2029E	1,468,547	1,468,547	0.0%	170,352	165,603	-2.8%	72.57	70.54	-2.8%

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Source: Citi Research Estimates

Maintain Buy and TP of US\$190/HK\$189

Coming away from Day 1 of the conference, we view the presentation and announcement truly underscored Alibaba's accelerating AI momentum across proprietary silicon, supernodes, and dual-track Qwen model directions, reinforcing its vertically integrated full-stack AI ecosystem. Maintain Buy and TP of US\$190/HK\$189.

Bull/Bear: Alibaba (9988.HK)

HK\$ **210.00**



▲83% Upside

HK\$ **189.00**



▲65% Upside

HK\$ **80.00**



▼30% Downside

HK\$



Spread 113pp
Current Price and expected returns (upside/downside) as of 22 Sep 2026



BULL Assumptions

- 11x P/E on FY2027E Ecommerce Group net profit, 8.0x P/S multiple on FY2027E AI Cloud and Compute Services revenue



BASE Assumptions

- 10x P/E on FY2027E Ecommerce Group net profit, 7.0x P/S multiple on FY2027E AI Cloud and Compute Services revenue



BEAR Assumptions

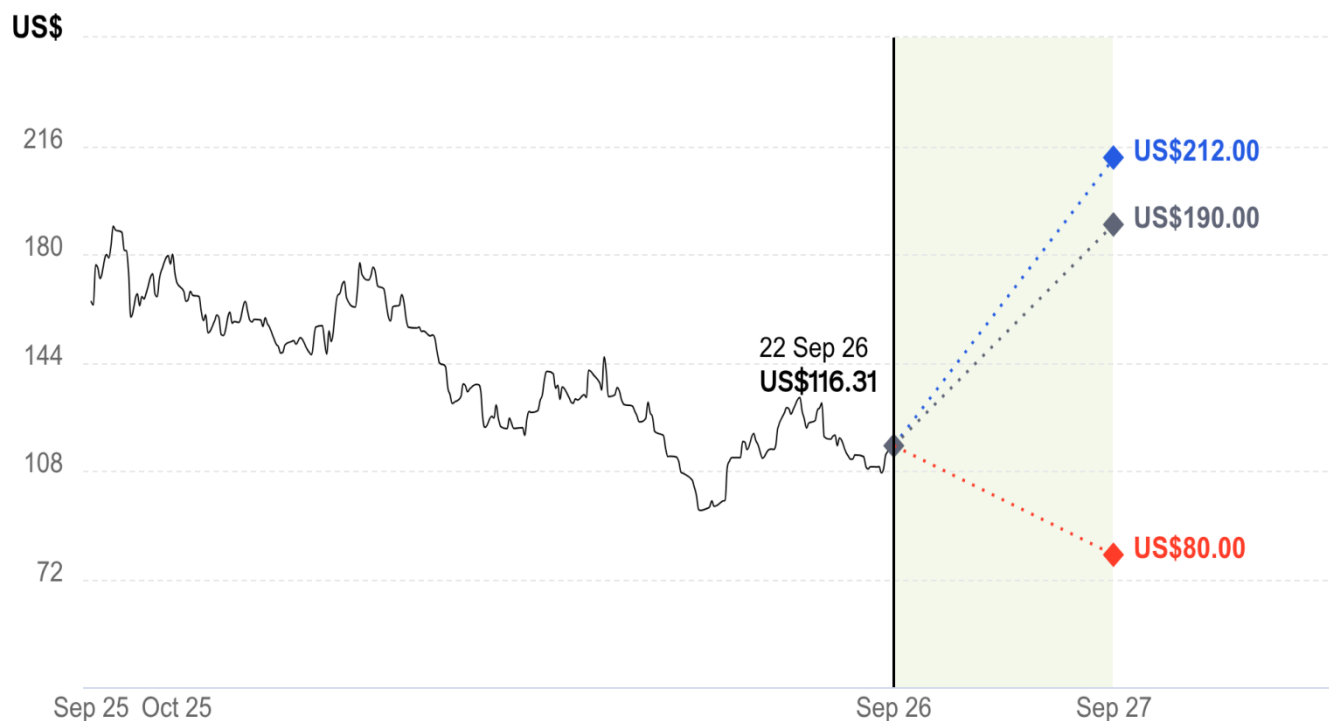
- 5x P/E on FY2027E Ecommerce Group net profit, 2.0x P/S multiple on FY2027E AI Cloud and Compute Services revenue

Bull/Bear: Alibaba Group Holding (BABA.N)

US\$ **212.00**
▲ 82% Upside

US\$ **190.00**
▲ 63% Upside

US\$ **80.00**
▼ 31% Downside



Spread 113pp
Current Price and expected returns (upside/downside) as of 22 Sep 2026



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BASE Assumptions

- 10x P/E on FY2027E Ecommerce Group net profit, 7x P/S on FY2027E AI Cloud and Compute Services revenue



BEAR Assumptions

- 5x P/E on FY2027E Ecommerce Group net profit, 2x P/S on FY2027E AI Cloud and Compute Services revenue

Alibaba

Company description

Alibaba was founded in 1999. In the years since, Alibaba has created one of the world's leading internet e-commerce companies with an online ecosystem for buyers, sellers, third-party service providers, third-party payments, and strategic partners. The company was listed on the NYSE in September 2014 and completed its secondary listing in Hong Kong in November 2019.

Investment strategy

We rate Alibaba H-shares as Buy. We are positive on Alibaba given: i) it has the leading online commerce ecosystem in China (combined 80% market share in C2C and B2C segments); ii) its monetization rate has upside potential; iii) synergies can be harvested across marketplaces, leveraging big data analysis, and AliCloud infrastructure; and iv) growth opportunities beckon in China's rural cities and globally.

Valuation

Our target price for Alibaba H-shares of HK\$189 is based on 10x P/E on FY2027E Ecommerce group net profit, 7.0x P/S on FY2027E AI Cloud and Compute Services revenue, 5.0x P/S on AI Labs and Applications revenue, and 0.2x P/S on all other businesses. Our target multiples are benchmarked against comps. We also assign a 30% discount to net cash position, in-line with our SOTP for other internet peers. Our SOTP fair value comes to HK\$189 per share.

Risks

Key downside risks that could prevent the shares from reaching our target price include: (i) failure in executing its new retail strategy; ii) investment spend and margins pressure become worse than expected; iii) slowdown of user traffic and online GMV and losing appeal to brands & merchants; iv) integration risks for newly acquired entities; v) slowdown of the Chinese and global economies and overhang of US-China or other trade disputes; and vi) regulatory risks on poor product quality and integrity of merchants.

Alibaba Group Holding

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Investment strategy

We rate Alibaba N-shares as Buy. We are positive on Alibaba given: i) it has the leading online commerce ecosystem in China (combined 80% market share in

C2C and B2C segments); ii) its monetization rate has upside potential; iii) synergies can be harvested across marketplaces, leveraging big data analysis, and AliCloud infrastructure; and iv) growth opportunities beckon in China's rural cities and globally.

Valuation

Our target price for Alibaba N-shares of US\$190 is based on 10x P/E on FY2027E Ecommerce group net profit, 7.0x P/S on FY2027E AI Cloud and Compute Services revenue, 5.0x P/S on AI Labs and Applications revenue, and 0.2x P/S on all other businesses. Our target multiples are benchmarked against comps. We also assign a 30% discount to net cash position, in-line with our SOTP for other internet peers. Our SOTP fair value comes to US\$190 per share.

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Appendix A-1

ANALYST CERTIFICATION

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IMPORTANT DISCLOSURES

Alibaba Group Holding (BABA)

Ratings and Target Price History
Fundamental Research

Analyst: Alicia Yap, CFA



Date	Rating	Target Price	Closing Price
1 08-Oct-23 17:09:43	1	*147.00	84.66
2 16-Nov-23 18:13:37	1	*142.00	77.82
3 09-Jan-24 13:40:44	1	*125.00	70.85
4 07-Feb-24 18:37:09	1	*126.00	72.44
5 09-Apr-24 18:25:26	1	*124.00	71.80
6 15-May-24 04:34:45	1	*122.00	79.67
7 15-Aug-24 16:50:03	1	*116.00	78.91
8 29-Sep-24 22:45:36	1	*136.00	106.48

Date	Rating	Target Price	Closing Price
9 09-Oct-24 09:54:52	1	*135.00	107.04
10 17-Nov-24 16:15:27	1	*133.00	87.89
11 09-Jan-25 17:58:55	1	*138.00	83.03
12 20-Feb-25 16:33:13	1	*170.00	134.90
13 08-Apr-25 05:01:59	1	*169.00	98.59
14 10-Jul-25 07:57:24	1	*148.00	106.64
15 31-Aug-25 17:30:14	1	*187.00	135.00
16 24-Sep-25 15:11:51	1	*217.00	176.44

Date	Rating	Target Price	Closing Price
17 08-Oct-25 07:59:47	1	*218.00	181.12
18 25-Nov-25 16:54:34	1	*225.00	157.01
19 08-Jan-26 09:37:26	1	*197.00	154.47
20 19-Mar-26 16:25:38	1	*200.00	124.90
21 08-Apr-26 06:24:46	1	*205.00	125.32
22 13-May-26 16:47:38	1	*208.00	145.81
23 08-Jul-26 06:13:19	1	*192.00	108.98
24 20-Aug-26 17:54:18	1	*190.00	130.53

*Indicates Change

Rating/target price changes above reflect Eastern Time

Alibaba (9988.HK)

Ratings and Target Price History Fundamental Research

Analyst: Alicia Yap, CFA



Date	Rating	Target Price	Closing Price
1 08-Oct-23 17:09:43	1	*144.00	82.16
2 16-Nov-23 18:13:37	1	*140.00	80.62
3 09-Jan-24 13:40:44	1	*122.00	69.13
4 07-Feb-24 18:37:09	1	*124.00	74.23
5 09-Apr-24 18:25:26	1	*122.00	69.87
6 15-May-24 04:34:45	1	*120.00	81.91
7 15-Aug-24 16:50:03	1	*115.00	75.80
8 29-Sep-24 22:45:36	1	*135.00	101.70

Date	Rating	Target Price	Closing Price
9 09-Oct-24 09:54:52	1	*133.00	102.09
10 17-Nov-24 16:15:27	1	*132.00	86.52
11 09-Jan-25 17:58:55	1	*137.00	79.97
12 20-Feb-25 16:33:13	1	*166.00	119.95
13 08-Apr-25 05:01:59	1	*165.00	101.70
14 10-Jul-25 07:57:24	1	*144.00	103.20
15 31-Aug-25 17:30:14	1	*183.00	115.70
16 24-Sep-25 15:11:51	1	*215.00	174.00

Date	Rating	Target Price	Closing Price
17 08-Oct-25 07:59:47	1	*216.00	177.60
18 25-Nov-25 16:54:34	1	*223.00	157.80
19 08-Jan-26 09:37:26	1	*195.00	142.60
20 19-Mar-26 16:25:38	1	*199.00	132.00
21 08-Apr-26 06:24:46	1	*204.00	126.50
22 13-May-26 16:47:38	1	*207.00	132.80
23 08-Jul-26 06:13:19	1	*191.00	107.50
24 20-Aug-26 17:54:18	1	*189.00	126.20

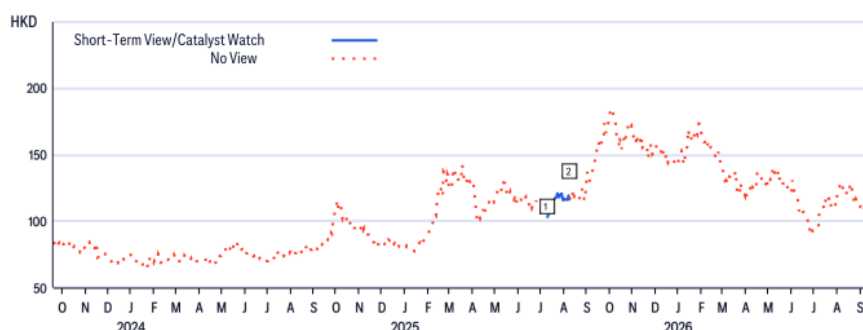
*Indicates Change

Rating/target price changes above reflect Eastern Time

Alibaba (9988.HK)

Short-Term View/Catalyst Watch Research

Analyst: Alicia Yap, CFA



Date	Action	Expected Direction	Duration	Closing Price
1 10-Jul-25 03:57:24	Add STV	Downside	30 Days	103.20

Date	Action	Expected Direction	Duration	Closing Price
2 08-Aug-25 14:18:01	Remove STV	Downside	30 Days	116.30

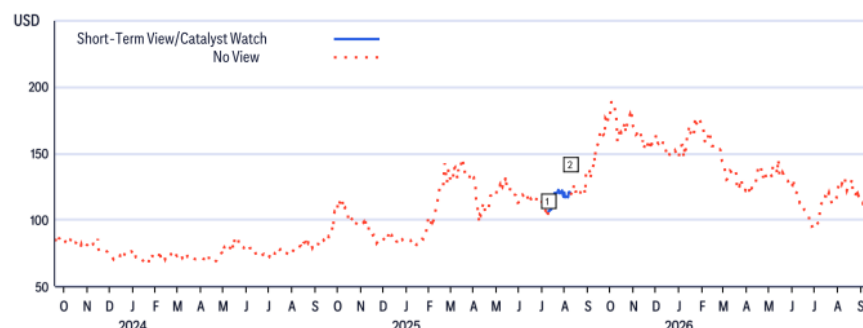
CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Alibaba Group Holding (BABA)

Short-Term View/Catalyst Watch Research

Analyst: Alicia Yap, CFA



Date	Action	Expected Direction	Duration	Closing Price
1 10-Jul-25 03:57:24	Add STV	Downside	30 Days	106.64

Date	Action	Expected Direction	Duration	Closing Price
2 08-Aug-25 14:17:52	Remove STV	Downside	30 Days	120.36

Date	Action	Expected Direction	Duration	Closing Price
3 18-Sep-26 06:05:47	Add STV	Upside	30 Days	113.24

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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Citigroup Global Markets Asia Limited

Vicky Wei, CFA; Nelson Cheung; Alicia Yap, CFA; Brian Gong

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